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Response of Copyright Clearance Center to the Request for Information on the Development of an Artificial Intelligence (AI) Action Plan.

Introduction

The strongest buildings need to be built on the best foundations. For AI systems to flourish, they need to be built on the best available content: content that has been validated, tagged, enriched and made machine ready. Fortunately, America's leading publishers, collecting societies, and creators make such high-quality content available for AI licensing.

We urge the OSTP to keep two key themes in mind as it develops its AI Action Plan. First, support for licensing and intellectual property at home and abroad are critical to defending the US creative sector's contributions to US economic growth, job creation, and trade surplus and to the advancement of AI in the US. Second, governmental support for transparency obligations with respect to AI system development is necessary to enable and grow reliable AI systems for use by the US Government and US businesses while supporting intellectual property.

About CCC

With over forty-five years of expertise in copyright and information management, CCC designs and delivers innovative information solutions that power decision-making by helping people integrate and navigate data sources and content assets. We collaborate with our customers to accelerate discovery and progress by shortening the distance between data, information, and insight. Our offerings are always market-based.

CCC was founded by publishers and users at the suggestion of Congress to facilitate copyright licensing for text during the time of the photocopy machine. We offer global corporate licensing on a fully voluntary, non-exclusive basis, plus academic licensing services primarily within the United States. Most of the nation's largest companies use our services. Our mission is to advance copyright, accelerate knowledge, and power innovation. CCC services include licensing, copyright education, library staffing, library and publisher software development, API development, persistent identifiers, and data/metadata services.

CCC supports AI in many ways. These include: our licensing and software solutions; collaborations with rightsholders, users and trade associations; ongoing development of persistent identifiers (PIDs), AI education, and support of [FAIR data principles](#). Perhaps most importantly to this inquiry, we include AI rights in a number of licensing offerings, including our [corporate annual copyright license](#), and we recently [announced](#) the development of an external AI systems training license.

We understand how important it is to help the AI journeys of users by enabling development of [reliable and trustworthy AI systems](#) to further goals. We also understand how important it is to support rightsholders by ensuring adequate remuneration for their investments in the content that drives AI systems.

Copyright and the US Economy

The creative sector contributes to economic growth, employment, exports, and the digital economy. According to the [most recent study](#), the total copyright industries added more than \$2.9 trillion to the GDP, accounting for 12.52 percent of the US economy. In terms of our digital economy, the total copyright industries accounted for 52.26 percent of the US digital economy, contributing over 58.9 percent to the US digital economy employment. Copyright industries account for nearly 16.1 million workers, and the annual compensation paid to core copyright workers amounts to a 51 percent compensation premium over the average US annual wage. In other words, these are good jobs.

The sales of select US copyrighted products in overseas markets amounted to \$230.3 billion in 2021, exceeding foreign sales of other major US industries such as agriculture.

In its international engagement, the United States has led the way in calling for the protection of intellectual property, including copyright, in the context of AI. In the G7 for example, the Trump Administration was instrumental in driving key commitments regarding IP protection in the digital environment. As [the 2017 G7 ICT and Industry Ministers Declaration](#) underscored:

...the role of intellectual property rights for promoting innovation, contributing to industry's productivity, growth and competitiveness in the digital economy and that IPR-intensive industries contribute more than other industries to increase GDP, employment and trade....The rise of IP infringements in the digital economy is of growing concern for governments, industries and consumers worldwide. Therefore, we recognize the need to have in place strong enforcement mechanisms for IP, including through international collaboration, to the benefit of IP right holders engaged in both large and small businesses, in light of serious risk of economic loss stemming from IP infringement including

counterfeiting, piracy and misappropriation of trade secrets. [This includes the need to] strengthen capacity to protect and enforce intellectual property rights, also considering the impact of new digital technologies...

Likewise, in 2018, the Trump Administration secured [several critical commitments](#) from G7 Leaders on AI including the need for effective protection and enforcement of IP. Thanks to these critical foundations, the G7 and other countries have continued to build on their commitments and other international fora to promote creators, protect copyright and ensure transparency in the development, deployment and use of AI.

Notably, in 2020 the Administration issued [Artificial Intelligence for the American People](#), which consisted of five pillars. The fifth pillar, i.e., “AI with American Values,” reaffirmed the President’s commitment to protecting IP in the AI environment, stating “The United States has long been a champion and defender of the core values of freedom, guarantees of human rights, the rule of law, stability in our institutions, rights to privacy, respect for intellectual property, and opportunities to all to pursue their dreams. The AI technologies we develop must also reflect these fundamental American values and our devotion to helping people.” Under this pillar, the Administration outlined its strategy for international leadership on AI consistent with the above values.

AI Action Plan

CCC is a member of the Copyright Alliance and supports its detailed response to the OSTP Action Plan. In addition, we chose to amplify certain aspects of that response and herein add some relevant details.

Global protection of U.S. intellectual property is imperative to ensuring U.S. economic competitiveness and sustained global leadership. Unfortunately, the development and deployment of generative artificial intelligence (“GAI”) in foreign markets has created barriers to trade that put U.S. copyright owners at a disadvantage. These barriers are born out of (1) inadequate copyright laws, particularly where copyright owners are unable to fully exercise their rights; (2) inadequate and ineffective enforcement of existing copyright laws; and (3) market access barriers that inhibit the licensing and dissemination of copyrighted works.

These barriers have increasingly arisen in the form of copyright exceptions for GAI, including exceptions for text and data mining (TDM), which is a base technology often used to train GAI. CCC [has licensed text and data mining rights](#) on behalf of US and other publishers for more than a decade and we are directly impacted by these copyright exceptions.

Some countries (e.g., Singapore) have adopted broad exceptions for TDM that fundamentally weaken copyright protection and threaten the sustainability and competitiveness of America's creative sector and its ability to contribute to U.S. economic growth and job creation. Other countries, including the UK, are considering such exceptions with the express intention of luring jobs. In addition to harming U.S. creators and copyright owners, the adoption of such exceptions facilitates the offshoring of the AI technology sector and expose vast amounts of data to foreign control, undermining American national security.

We urge the Administration to champion the rights of American creators and copyright owners and support the protection of copyright globally through bilateral and multilateral engagement that advances human-centric and responsible GAI, promotes free markets and licensing, and ensures recordkeeping and transparency. We urge that any AI Action Plan includes opposition to foreign copyright exceptions for AI and TDM.

Promoting Free Markets Through Copyright Licensing

As mentioned above, CCC was founded to address licensing challenges arising from the photocopy machine. From then until now, we have been promoting free markets and a robust voluntary licensing ecosystem through fully voluntary, non-exclusive, market-driven licensing regimes.

Copyright law enables creators and copyright owners to supply GAI companies with flexible and responsive solutions for training through tailored licensing and business models. CCC has added AI rights to our existing licenses for internal corporate reuse and more recently announced the development of a collective license for external GAI systems training.

The ability of creators and copyright owners to create works and enforce their rights in those works is crucial. It incentivizes the further creation and proliferation of high-quality creative and scientific works which form the basis for GAI development. Without copyrighted works, many GAI technologies cannot generate high-quality output.

Since the rise of GAI technologies a few years ago, the number of [licensing agreements](#) between copyright holders and users has steadily increased. This shows that the market is working, and that copyright and GAI can continue to progress successfully together without changes to copyright law.

No policy should be adopted by the US Government that interferes with this free market or the freedom to license. The marketplace should continue to properly value and incentivize creativity, and policies developed through the AI Action Plan should ensure the right of

copyright owners to choose whether to license, or not to license, their works for GAI purposes, and on what terms.

The Need for Transparency

CCC's clients include the largest US-based companies in fields as diverse as food, fuel, pharmaceuticals, finance, engineering, and aerospace. Through our work with these businesses, we know that [high stakes AI applications require transparency of input](#). This is just another version of responsible supply chain management. The US Government should not risk the security and health of its citizens by using AI systems developed with incomplete documentation.

Adequate transparency regarding ingestion of works also helps ensure that copyright owners' rights are respected. When developers of GAI models ingest copyrighted works owned by third parties without a license, they should be required to satisfy transparency standards sufficient to enable creators to know if their materials were used, and how they were used.

Best practices already exist that enable users of AI systems or those affected by its outputs to know the provenance of those outputs. There is no reason these same responsibilities should not also apply to GAI ingestion of copyrighted works. Any AI Action Plan should include reasonable transparency requirements.

Conclusion

It is essential that the AI Action Plan respects the rights of creators and copyright owners. Likewise, the AI Action Plan should improve AI reliability, safety, security, and licensing through, among other things, transparency obligations. Finally, the U.S. economy should be secured by the promotion, protection, and enforcement of copyright globally.

Respectfully submitted for Copyright Clearance Center,

Roy S. Kaufman, Managing Director, Business Development